
SM131 - Exam Sample Questions

(just questions below; Q's with answers appear on the pages that follow...)

Sample Multiple Choice Questions

- (1) Suppose you and SM131 team developed a new cosmetics product and that you thought had the potential to turn into a \$100m business. If you wanted to avoid personal financial exposure to lawsuits, wanted to raise capital, and wanted to focus on maximizing profits, which of the following legal forms of business do you think you would be most appropriate?
 - (a) sole proprietorship
 - (b) partnership
 - (c) B Corporation
 - (d) C Corporation
 - (e) Non-profit Corporation
- (2) What is the main factor that determines "value captured by the buyer" in the two-party value chain scenario?
 - (a) the firm's production cost
 - (b) the difference between the buyer's willingness to pay and the actual price paid
 - (c) the profit margin of the firm
 - (d) the total number of goods sold
 - (e) the amount of innovation introduced by the firm in comparison to the amount of innovation introduced by the buyer
- (3) Which of the following statements is most consistent with Amartya Sen's perspective on value?
 - (a) the only value that truly matters is economic value, as only economic value can provide a true measure of social welfare
 - (b) consumer surplus is more important than firm value creation, because consumer surplus is the best measure of autonomy and freedom
 - (c) our concept of value should include considerations other than economic value, most notably human wellbeing
 - (d) Sen's perspective on value echoes that of the Labor Theory of Value, which posits that the value of products reflects the amount of human effort required to prepare them
 - (e) Sen's view of value reflects that of Karl Marx, which is that capitalists typically leverage capital to exploit the value of human labor
- (4) Which of the following statements about Porter's Value Chain is most accurate?
 - (a) Porter's Value Chain helps us understand how to avoid Marketing Myopia
 - (b) Porter's Value Chain helps us understand the principles of Operations Management, one of the key lessons of which is that manufacturing should always focus on achieving the lowest cost, regardless of its impact on effectiveness.
 - (c) Porter's Value Chain helps us understand how Secondary Activities involve the creation of products, while Primary Activities involve understanding consumers.
 - (d) Porter's Value Chain helps us understand the relationship between Buyer Power, Supplier Power, Rivalry, Substitutes, and the Threat of Entry
 - (e) Porter's Value Chain helps us understand the transformation of inputs to outputs inside a firm and one of its key lessons is that firm activities need to be designed to fit together
- (5) Which of the following provides the best example of the efficiency/effectiveness tradeoff that we discussed during our sessions on Operations Management?
 - (a) IKEA is a furniture store that enables consumers to select and assemble their own furniture, while also selling tasty meatballs and other Swedish foods
 - (b) Wawa is a convenience store/fresh-food maker/gas station that attempts to provide the best possible customer service while enabling customers to get their products as quickly as possible
 - (c) Zara is a firm that provides fast fashion, identifying fashion trends quickly and typically turning around their inventory in an extremely short period of time
 - (d) Warby Parker is a firm that began purely as an online business, trading off the opportunity to challenge existing glasses retailers by not opening locations in malls
 - (e) Zombie Co makes and sells zombies. All the time. Just tons and tons of Zombies. No unicorns, just Zombies.

- (6) Which of the following best represents the type of concern raised in the note on, "Marketing Myopia"?
- (a) the possibility that a firm offers the wrong value proposition to its existing customers, thus leading to them to switch to an existing rival
 - (b) the possibility that a firm's advertising targets the wrong customer segment
 - (c) the possibility that the firm's marketing message will become 'stale,' thus leading consumers to decrease their willingness to pay for the firm's existing products
 - (d) the possibility that a firm conceives of its customer too narrowly thereby making it more difficult for the firm to adapt to changing conditions
 - (e) the possibility that the firm's leadership will become 'stale,' thus leading the marketing team to fail to entertain new marketing campaigns that could invigorate the sale of existing products to existing consumers
- (7) According to what we have learned about Accounting this semester, which of the statements below is true?
- (a) if Assets = \$20,000 and Liabilities = \$10,000 then Equity = \$30,000
 - (b) if Assets = \$20,000 and Liabilities = \$10,000 then Equity = \$10,000
 - (c) if Assets = \$20,000 and Equity = \$10,000 then Liabilities = \$30,000
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- (8) According to what we have learned about Accounting this semester, which of the following identifies a category that is not likely to appear on income statement?
- (a) equity
 - (b) gross profit
 - (c) cost of goods sold (COGS)
 - (d) operating expenses
 - (e) revenues (or sales)
- (9) According to the note, "Introducing Investors," which of the following statements about debt and equity investors is most true:
- (a) debt investing is not really "investing" as it does not involve any risk
 - (b) as long as the company in which they invested survives, debt investors will make the same profit on their investment if the company earns either 10% ROS or 20% ROS
 - (c) if a company goes bankrupt equity investors can lose both the amount that they invested in the company as well as some fraction of the debt's that the bankrupt company owes
 - (d) the risks associated with debt investing are typically regarded as greater than the risks associated with equity investing
 - (e) whereas equity investing is associated with loans and bonds, debt investing is associated with shares of stock
- (10) Suppose a wealthy relative possessed a \$1000 bill that they planned to give you in three years. According to what we have learned about the Time Value of Money this semester, which of the statements below is most true about that \$1000 bill?
- (a) the value of that bill would be the same whether you received it today or in ten years (after all, it's the same bill!)
 - (b) in a world in which the interest rate were 10% today, but was going to be 20% next year, you would decline the offer of receiving the bill as a gift now so that you could get more value from it in the future
 - (c) the present value of the bill would be lower today if the interest rate were 20% than if it were 5%
 - (d) that value of the bill is likely to increase in the future, because gold will become increasingly rare
 - (e) the bill is worthless as only money tied to gold or silver has any value; all other money is fiction

Sample Open Response questions

- (11) Two of the cases we studied this semester were the Super Soaker and Warby Parker. Please choose one of those two cases and explain which legal form of business you think would be most appropriate for one of the following firms from those cases (a) Dr. Johnson's R&D Company or (b) Warby Parker. Please explain why you think that is the right legal form.
- (12) Please explain the role of Marketing in Porter's Value Chain
- (13) The following questions ask you to apply your understanding of the concepts we have studied in Module #1 of SM131 to the company on which your team completed its presentation. Please answer each question below:
- (a) please outline the Industry Value Chain for your firm's industry
 - (b) please choose two of the functions of business that we discussed in MOD1 (e.g., Accounting, Finance, Marketing, or Operations Management) and explain how those functions contribute to value creation in the case of your firm
 - (c) what would be a good measure of the value captured by your firm?
- (14) The questions below are designed to assess your understanding of the two financial statements we studied during the Accounting week, the Income Statement and the Balance Sheet.
- (a) What is the principal lesson we learn from the Income Statement? (hint: we learn it from the bottom line of the Income Statement)?
 - (b) What is the principal lesson we learn from the Balance Sheet?
 - (c) How would it inform your Balance Sheet if an accountant were to tell you a firm's Accounts Receivable (i.e., into which category would it go)?
 - (d) Suppose that you learned that your firm's Shareholder's Equity was much higher than that of its rivals. What would that tell you about how much the firm owns relative to how much it owes?
- (15) Suppose you were considering an investment that would require you to pay \$300 today and \$300 one year from today, but would yield a payoff of \$1000 five years from today.
- (a) If the discount rate were 10%, what would the present value of the investment's payoff be today?
 - (b) If the discount rate were 20%, what would the future value be of the total costs of the investment (i.e., the amount that you had to pay for the opportunity) five years from today?
 - (c) If the discount rate were 20%, what would the Net Present Value of the investment be today?
 - (d) Without doing any additional calculations, what do (a) and (c) imply about the IRR for the investment?

Questions with answers appear on the pages that follow...

Sample Multiple Choice Questions

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Sample Open Response questions

- (11) Earlier this semester we discussed Johnson R&D Co (JRD), the firm that invented the Super Soaker, and Warby Parker (WP). Please choose one of these companies (either JRD or WP) and identify it below. Then please identify any two legal forms of business and explain why you think one of those two forms would be more appropriate as the legal form of the business you have chosen.

ANSWER: many answers are possible, depending on which 2 legal forms you choose; for example...

JRD: better as C-Corp than Sole Proprietorship b/c of limited liability & ability to raise capital

WP: better as B-Corp than C-Corp, so that it can sacrifice profits for social benefit

- (12) Please explain the role of Marketing in Porter's Value Chain

ANSWER: MK, along with sales, constitutes one of the Primary Activities in Porter's Value Chain, whose primary purpose is to help understand the internal activities of the firm [<30 words].

- (13) The following questions ask you to apply your understanding of the concepts we have studied in Module #1 of SM131 to the company on which your team completed its presentation. Please answer each question below:

(a) please outline the Industry Value Chain for your firm's industry

(b) please choose two of the functions of business that we discussed in MOD1 (e.g., Accounting, Finance, Marketing, or Operations Management) and explain how those functions contribute to value creation in the case of your firm

(c) what would be a good measure of the value captured by your firm?

ANSWER: many answers are possible, depending on which company you choose; here's an example for IKEA

(a) wood → IKEA → consumer

(b) OM: sourcing strategy & choice of materials → C low; MK helps identify optimal store layout & displays to keep up WTP, despite relatively low C materials

(c) ROS (return on sales) [note: could also mention ROE (return on equity) or ROA (return on assets) or Ave P – Ave C or any other measure of profitability; net income is OK too, but a rate of return is ideal]

- (14) The questions below are designed to assess your understanding of the two financial statements we studied during the Accounting week, the Income Statement and the Balance Sheet.

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(d) Suppose that you learned that your firm's Shareholder's Equity was much higher than that of its rivals. What would that tell you about how much the firm owns relative to how much it owes?

ANSWER:

(a) the level of firm profits in that time period (net income)

(b) the firm's financial position at a particular point in time

(c) Accounts Receivable are Assets

(d) it owns more than it owes (i.e., its Assets are greater than its Liabilities)

- (15) Suppose you were considering an investment that would require you to pay \$300 today and \$300 one year from today, but would yield a payoff of \$1000 five years from today.

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(d) Without doing any additional calculations, what do (a) and (c) imply about the IRR for the investment?

ANSWER:

(a) $PV = FV / (1+r)^t = 1000 / (1+0.10)^5 = 1000 / 1.61051 = \621.00

(b) $FV = 300 * (1.2)^5 + 300 * (1.2)^4 = 746.50 + 622.08 = \$1,368.58$

(c) $NPV = PV(\text{Benefits}) - PV(\text{Costs}) = 1000 / (1.1)^5 - 300 / (1.2) - 300 = 401.90 - 250 - 300 = -\148.10

(d) The IRR must be between 10% and 20%.